**Small Scale Industries**

Small scale industries are those industries in which the process of manufacturing, production and servicing are done on a small scale. The investment on such industries is one time and these investments are mostly done on plant and machinery. In small scale industries, the manufacturing of goods and rendering of services are done with the help of smaller machines and very limited manpower.

**Types of Small Scale Industries in India:** The following are the different types of small scale industries in India:

1. **Manufacturing Industries**

These are typically individually-owned units that produce finished products for consumption or use in processing industries. Examples of manufacturing industries include power looms, engineering industries, food processing units, etc.

2. **Ancillary Industries**

Ancillary industries do the work of making parts and components used by heavy engineering industries to shape their final product for ultimate consumption. Ancillary industries specialise in producing machinery and parts that MNCs and medium-scale enterprises use. Ancillary industry manufactures parts, components, sub-assemblies, tools, intermediates, machines etc.

3. **Service Industries**

The service industry includes establishments that provide services like repair and maintenance shops. This includes after-sales service, repair, maintenance and upkeep of the products.

4. **Export Industry**

A small-scale unit that exports more than 50% of its output is classified as an export unit.

5. **Cottage Industry**

These small units run in the owner's home and do not require a designated facility. They generally exist in villages and form the unorganised sector. Such businesses have a higher dependence on labour to produce goods. Some examples include weaving, silverware, pottery, bamboo crafts, etc.

**6.Village Industries**

This includes small-scale units established in rural areas and part of the unorganised sector. These units are also labour-intensive. The total fixed capital investment in land, building, plant, and machinery per artisan or worker in this industry does not exceed Rs. 50,000.

**Role of Small Scale Industries in Economic Development**

Small scale industries or SSIs are known as the lifeline of an economy, which is very important for a country like India. Small scale industries play significant role in the Indian Economy due following reasons

1. **Local Production:** The Make in India initiative by the government is to promote small scale industries and the development of industries in the country. Small scale industries are a perfect example of the Make in India initiative, as they produce goods locally and sell them in the country and overseas, thus generating more demand globally for Indian products.

**2. Employment Opportunities:** Small industries create several employment opportunities as they are more dependent on labour. With lower use of technology and higher use of locally available manpower, they provide various job opportunities and help reduce unemployment.

**3. Increase in Export:** Small scale enterprises contribute a significant chunk to the country's exports, with almost 50% of the goods exported from India manufactured by them.

**4. Seedbed for Large Scale Industries:** Small scale industries provide conducive conditions for the development of entrepreneurs in the country and act as a seedbed for Large Scale Industries. They require lower investment and are less technology-intensive, depending more on the use of local resources. They provide an ecosystem and opportunities for the growth and development of Large Scale Industries.

**5. Public Welfare:** These industries have a vital role to play in the growth and development of the country. They not only create valuable employment opportunities but also offer a chance to build wealth within the ecosystem. Moreover, they are crucial for the social growth and development of the nation.

**6. Contribution to Total Production:** Small scale industries play a significant role in the overall production of goods and services in the country, accounting for approximately 40% of the total. They contribute to both per capita income and the growth of the GDP, making them a crucial factor in strengthening the economy's development.

**7. Less Capital Requirement:** Small scale industries are less capital intensive than the large scale industries. Capital is scarce in developing countries like India and therefore, small scale industries are most suitable for maintaining the balance.

**8. Maintains regional balance:** It has been seen that large scale industries are mostly concentrated in the large cities or restricted to areas which leads to migration of people in search of employment to these cities. The result of such a migration is overcrowding of the city and damage to the environment. For sustaining a large population, more of natural resources need to be utilised.

**9. Short production time:** Small scale industries have a shorter production time than the large scale industries which results in flow of money in the economy.

**10. Reduce the dependence of agriculture:** Most of the rural population will be dependent on agriculture and this creates a burden on the agricultural sector. Small scale industries by providing employment opportunities to the rural population provides more avenues for growth and also paves way for a more arranged distribution of occupation.

**Examples of Small Scale Industries**

Paper Bags, Leather belt, Small toys, Bakeries, stationery, Water bottles, Beauty parlours, Pickle, Incense stick, Paper plate, Xerox and Printing, Spices Making, Chocolate making, Detergent Powder Making etc.

## Advantages of Small-Scale Industries

Small-scale industries have traditionally played a crucial part in the country's economic development. Small-scale industries have the following advantages:

### 1. Job opportunities

Small-scale industries have the ability to generate a large number of job opportunities. They have a labour-intensive nature to them. They employ more labour than other production elements.

### 2. Less capital is required

When compared to large-scale industries, small-scale enterprises require less capital. Because India is a capital-scarce country, Small Scale Industries can be founded and run by small business owners with limited cash.

### 3. Contribution to the output of the industrial sector

Small-scale industry products account for a major share of the country's industrial output. They manufacture a variety of consumer goods and also industrial components in big quantities to meet consumer demands.

### 4. Obtaining foreign currency

Small-scale industries contribute to the country's foreign exchange earnings by exporting goods to various countries across the world. Simultaneously, their purchases are minimal, resulting in a lower foreign exchange outflow.

### 5. Make use of local resources

Small-scale industries make productive use of locally available resources that would otherwise be wasted. Tiny sums of money that might otherwise go unused are channelled into the establishment of small businesses. This boosts the economy's capital formation and investment.

### 6. Entrepreneurial opportunities

Entrepreneurs with low funding can benefit from small scale industries. When compared to large-scale firms, establishing an SSI involves less finance and less expenditure in technology and machines. As a result, small business owners can simply create and run Small Scale Industries.

### 7. Cost-effectiveness

Small-scale businesses can use lean manufacturing techniques to achieve more quality and variety at a reduced cost. When compared to large-scale units, they can be more cost-effective because their expenditures are reduced.

**8. Reduction of Migration**

When people residing in rural areas are unable to find work, they migrate to urban regions in search of work. Small-scale industries make use of the skills and abilities of rural craftsmen, artisans, and others, and they provide useful work to people with inherited skills, allowing them to improve their economic status. As a result, small-scale industries aid in the reduction of migration.

**9. Operational flexibility**

Small businesses are more adaptable. They can quickly adjust to shifting market conditions, changing customer needs and capitalise on new opportunities.

**10. Personal interaction with clients**

The number of consumers is restricted, and the small business owner is personally involved in the operation. Customers can be kept in touch on a personal level. Their requirements and demands can be recognized and met. As a result, clients are satisfied, and demand remains consistent.

## Problems of Small Scale Industries in India

### 1.Shortage of Funds:

Small business entrepreneurs don't have enough long- term or short-term funds. These are, therefore, short of both fixed assets as well as working capital. Even the banks do not come to their help in a big way. Financial institutions like ICICI, IDBI and IFCI help only large scale industries.

**2. Lack of Latest Technology:**

Small business lacks funds. Latest technology is not used because it is expensive. Only old methods and techniques are being used. Due to this they earn less margin of profit.

**3. Shortage of Raw Materials:**

There is shortage of raw material because of less working capital. They can't buy in bulk during the season and cannot enjoy the economies of large scale.

**4. Shortage of Power:**

Because of shortage of power, the small business enterprises are not able to use full capacity of the plant at their disposal. They cannot afford to have their own power generators.

**5. Labour Problem:**

The labour is mostly unskilled. Small business don't have resources to provide good training. Labour are also not paid well. There is no motivation for professional growth. Small business is incapable to bargain with powerful trade unions.

**6. Marketing Problem:**

Small business cannot face the competition with large scale units in marketing and selling. They cannot afford to spend much on advertising and proper distribution of goods. They have to depend on middlemen, who pay low prices and even the recovery from the middlemen is very slow.

**7. Managerial Skills:**

Only individuals or a small group of people own and operate the small business units. They don't possess professional managerial skills required to run a business successfully.

**8. Quality:**

Small business finds it difficult to come upto global standards of the quality. They also don't have funds for research in order to improve upon the quality. The product quality is their weakest point as compared to the standards of the large scale units.

**9. Sickness:**

It is painful to see most of the small units going sick. There is a lack of planning. Skilled and trained personnel is another hurdle. They have to sell on credit. Their customers do not pay them in time. There are large scale bad debts. Thus, they fall short of working capital to keep the production process going. This leads to sickness.

## Sickness in Small Scale Industries

Industrial Sickness is a term used to describe an industrial unit's poor health or financial condition, which makes it unable to operate effectively or sustainably. It is characterized by the inability of the unit to generate enough revenue to cover its expenses, leading to a decline in productivity, loss of jobs, and potential closure of the unit. A consistent mismatch in the debt-to-equity ratio and distortion in the unit's financial status are symptoms of industrial sickness. A sick unit is unable to function properly with its internal resources. Industries are forced to rely on external funding sources after the sick units function below the break-even point (at which total revenue equals total cost).

**Causes of Industrial Sickness:**

Industrial sickness is not produced by a single element but rather by the cumulative influence of several causes. The variables that cause industrial disease are divided into two categories: internal causes and external causes, which are addressed further below:

**Internal Causes**

1. **Mismanagement:** Poor management decisions, lack of effective leadership, and inadequate planning can lead to a company's downfall.
2. **Financial issues:** Insufficient working capital, poor financial planning, and inability to secure loans or investments can lead to financial distress.
3. **Obsolete technology**: Failure to adopt modern technology or upgrade existing systems can reduce efficiency and competitiveness.
4. **Inadequate training:** Improper recruitment and inadequate training of workers affect the quality and quantity of output.
5. **Labour issues:** Strikes, disputes, or high employee turnover can negatively impact productivity and morale.

6. **Inefficient production processes:** The inability to control costs or maintain quality standards can hamper a company's profitability.

7. **Management Deficiencies:** The biggest cause of industrial sickness is the managerial inefficiency. Lack of professional management or experienced management and the existence of hereditary management is an important cause of industrial sickness.

**External Causes**

1. **Economic conditions:** Economic downturns or recessions can lead to reduced demand and increased competition, making it difficult for businesses to survive.

2. **Government policies:** Changes in regulations, taxes, or import-export policies can adversely affect certain industries or sectors.

3. **Non availability of basic resources:** Non availability of raw material and machinery, irregular power and water supply, improper transport facilities, shifting of markets etc affect the production and sale of products.

4. **Competition:** Intense competition from domestic or international players can lead to market saturation and reduced profitability.

5. **Natural disasters or unforeseen events:** Floods, earthquakes, or pandemics can disrupt supply chains and cause significant damage to industrial units.

6. **Recessionary trend in economy:** Sometimes due to recession, small businesses face decline in sales and profits.

**Impact of Industrial Sickness:**

Effects of industrial sickness are huge on different segment of economy as mentioned below.

1. **Losses to financial institutions:** There are huge losses to the banks and other financial institutions because of locking of their funds in sick industrial units who have lost the capacity to repay.

2. **Loss of Employment:** The persons employed in sick units lose employment leading to loss of income.

3. **Industrial unrest:** Throwing of workers and employees out of jobs by the sick are opposed by trade unions and resort to strike leading to industrial unrest.

4. **Effect on Investors:** Industrial sickness adversely affect investors in the country because share of sick units become unattractive since their prices are down. The result is investors withdraw their money from markets.

5. **Effect on prospective entrepreneur:** Industrial sickness work against the prospective entrepreneurs. Such entrepreneurs prefer to stay away from industries. Such trend proves to be a great loss to the development of economy of the country.

6. **Loss of revenue to the government:** Government loses taxes from sick industrial units. Sick units fail to pay government its dues.

## Government Initiatives (Schemes) for MSMEs (SSIs)

MSMEs are the backbone of the Indian economy, contributing approximately 30% of the country's GDP (Gross Domestic Product), and providing employment to 11 Cr of India's population. The share of Micro, Small, and Medium Enterprises (MSMEs) in manufacturing output currently stands at 35.4%. The proposed eight key measures to support MSMEs.

1. **Credit Guarantee Scheme for MSMEs in the Manufacturing Sector**: For facilitating term loans to MSMEs for purchase of machinery and equipment without collateral or third-party guarantee, a credit guarantee scheme will be introduced for making capital investment in the manufacturing sector with cover up to INR 100 Cr.

2. **New assessment model for MSME credit:** Public sector banks will build their in-house capability to assess MSMEs for credit, instead of relying on external assessment and take a lead in developing or getting developed a new credit assessment model.

3. **Credit Support to MSMEs during Stress Period:** Credit support will be provided to MSMEs during stress period from a government-promoted fund which is a new mechanism for facilitating continuation of bank credit to MSMEs during their stress period.
4. **Mudra Loans:** The limit of Mudra loans will be enhanced to INR 20 Lakh from the current INR 10 Lakh for those entrepreneurs who have availed and successfully repaid previous loans under the 'Tarun' category.

5. **Enhanced scope for mandatory onboarding in TReDS:** For facilitating MSMEs to unlock their working capital by converting their trade receivables into cash, Turnover threshold of buyers for mandatory onboarding on the TReDS platform to be reduced from INR 500 Cr to INR 250 Cr.

6. **SIDBI branches in MSME clusters:** SIDBI will open new branches to expand its reach to serve all major MSME clusters within 3 years, and provide direct credit to them.

7. **MSME Units for Food Irradiation, Quality & Safety Testing:** Financial support for setting up of 50 multi-product food irradiation units in the MSME sector will be provided. Setting up of 100 food quality and safety testing labs with NABL accreditation will be facilitated.

8. **E-Commerce Export Hubs:** To enable MSMEs and traditional artisans to sell their products in international markets, E-Commerce Export Hubs will be set up in public-private-partnership (PPP) mode. These hubs, under a seamless regulatory and logistic framework, will facilitate trade and export related services under one roof.

# Incentives for Small Scale Industries

Many incentives are provided both by the Central and State Governments to promote the growth of small-scale industries. Special incentives worth mentioning are as follows.

**1. Reservation:**

To protect the small-scale industries from the competition posed by large-scale industries, the Government has reserved the production of certain items exclusively for the small-scale sector. The number of items exclusively reserved for the small-scale sector has been considerably increased during the Five Year Plan Periods and now stands at 822.

**2. Preference in Government purchases:**

The Government as well as Government organisations shows preference in procuring their requirements from the small-scale sector. For instance, the Director General of Supplies and Disposals purchases 400 items exclusively from the small-scale sector.

**3. Price preference:**

The SSI units are given price preference up to a maximum of 15 per cent in respect of certain items purchased both from small-scale and large-scale units.

**4. Supply of raw materials:**

In order to ensure regular supply of raw materials, imported components and equipment, the Government gives priority allocation to the small-scale sector as compared to the large-scale sector. Further, the Government has liberalised the import policy and streamlined the distribution of scarce raw materials.

**5. Excise duty:**

In respect of SSI units excise duty concessions are granted to both registered and unregistered units on a graded scale depending upon their production value.

**6. RBI's credit guarantee scheme:**

As per the Scheme, the RBI takes upon itself the role of a guarantee organisation for the advances which are left unpaid, including interest overdue and recoverable charges. This scheme covers not only working capital but also advances provided for the creation of fixed capital.

**7. Financial assistance:**

Financial assistance is provided to SSI units at concessional terms by commercial banks and other financial institutions.

**8. Technical consultancy services:**

The Small Industries Development Organisation, through its network of service and branch institutes, provides technical consultancy services to SSI units. The Technical Consultancy Organisation renders consultancy services to SSI units at a subsidised rate. Many financial institutions are also providing subsidies to SSI units for availing of consultancy services

**9. Machinery on hire purchase basis:**

The National Small Industries Corporation (NSIC) arranges supply of machinery on hire purchase basis to SSI units, including ancillaries located in backward areas which qualify for investment subsidy. The rate of interest charged in respect of technically qualified persons and entrepreneurs coming from backward areas are less than the amount charged to others.

**10. Transport subsidy:**

The Transport Subsidy Scheme envisages grant of a transport subsidy to small-scale units in selected areas to the extent of 75 % of the transport cost of raw materials.

**11. Training facilities:**

The Entrepreneurship Development Institute of India, financial institutions, commercial banks, technical consultancy organisations, and NSIC provide training to existing and potential entrepreneurs.

**12. Marketing assistance:**

The National Small Industries Corporation (NSIC), the Small Industries Development Organisation (SIDO) and the various Export Promotion Councils help SSI units in marketing their products in the domestic as well as foreign markets. The SIDO conducts training programmes on export marketing and organises meetings and seminars on export promotion.

**13. District Industries Centres (DICs):**

One DIC is set up in each district. The DIC provides and arranges a package of assistance and facilities for credit guidance, supply of raw materials, marketing etc.

## Technical Consultancy Organizations:

Technical consultancy is the provision of technical advice and services to businesses and individuals. It is a highly skilled and specialized form of consultancy that helps organizations to improve their performance and competitiveness. Technical consultants are experts in their field and use their knowledge and experience to advise clients on the best way to achieve their objectives. They work with clients to identify problems and opportunities and then develop and implement solutions that are tailored to the client's specific needs. Technical consultancy can be used to improve the efficiency and effectiveness of an organization's operations, develop new products and services, or resolve complex technical issues.

A network of Technical Consultancy Organizations (TCOs) was established by All Indian financial institutions in the seventies and the eighties in collaboration with state-level financial/development institutions and commercial banks to cater to the consultancy needs of small industries and new entrepreneurs.

**At present, 17 TCOs are operating in various states, some of them covering more than one state. These 17 TCOs are:**

1. Andhra Pradesh Industrial and Technical Consultancy Organization Ltd. (APITCO).

2. Bihar Industrial and Technical Consultancy Organization
3. Gujarat Industrial and Technical Consultancy Organization Ltd. (GITCO).
4. Haryana-Delhi Industrial Consultants Ltd. (HARDISON).
5. Himachal Consultancy Organization Ltd. (HIMCO).
6. Industrial and Technical Consultancy Organization of Tamil Nadu Ltd. (SCOTT).
7. Jammu and Kashmir Industrial and Technical Consultancy Organization Ltd. (J&KITCO).
8. Karnataka Industrial and Technical Consultancy Organization Ltd. (KITCO).
9. Madhya Pradesh Consultancy Organization Ltd. (MPCON).
10. Maharashtra Industrial and Technical Consultancy Organization. Ltd. (MITCON).
11. North-Eastern Industrial Consultants Ltd. (NECON).
12. North-Eastern Industrial and Technical Consultancy Organization Ltd. (NESTICO).
13. North-India Technical Consultancy Organization Ltd. (NEOCON).
14. Orissa Industrial and Technical Consultancy Organization Ltd. (ORICON).
15. Rajasthan Consultancy Organization Ltd. (RAJCON).
16. U.P. Industrial Consultants Ltd. (UPICO).
17. West Bengal Consultancy Organization Ltd. (WEB CON).

**Functions of TCOs:**

1. To prepare project profiles and feasibility profiles.

2. To undertake industrial potential surveys.

3. To identify potential entrepreneurs and provide them with technical and management assistance.

4. To undertake market research and surveys for specific products.

5. To supervise the project and where necessary, render technical, managerial and administrative assistance.

6. To undertake export consultancy for export-oriented projects based on modern technology.

7. To conduct entrepreneurship development programs.

8. To offer merchant banking services.

9. To provide asssitance in modernisation and technology upgradations.

**Tax Holidays:**

A tax holiday refers to a predetermined period during which specific taxes are temporarily reduced or entirely eliminated. While the term “holiday” might evoke thoughts of relaxation, in the financial context, it signifies relief from certain tax burdens. Tax holidays function by providing businesses and individuals with a temporary respite from specific taxes. Governments have the flexibility to implement tax holidays on a national, regional, or sectoral basis, customising the incentives to align with specific economic goals. Eligible entities benefit from lowered tax rates or complete exemptions, offering a period of financial relief aimed at catalysing targeted economic activities. In the pursuit of promoting consumer spending or stimulating business investment, governments might implement a

tax holiday. This involves a temporary duration wherein specific taxes are either reduced or completely waived.

**Types of Tax Holidays:** Corporate Income Tax Holiday, Personal Income Tax Holiday, Sales Tax Holiday, Investment Tax Credit (ITC) Holiday, Capital Gains Tax Holiday, Research and Development (R&D) Tax Credit Holiday, Export Tax Holiday, Green Energy Tax Holiday, Tourism Tax Holiday, Start-up and Small Business Tax Holiday, Special Economic Zone (SEZ) Tax Holiday, Customs Duty Holiday

**Functions of Tax Holidays: Tax Holidays aims in**

- Attracting Investment
- Promoting Economic Growth
- Fostering Entrepreneurship Regional Development
- Encouraging Compliance
- Improving Cash Flow for Businesses
- Increasing Foreign Direct Investment (FDI)

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**Practice Questions:**

1. Define Small Scale Industries. Explain the types of SSI.
2. Justify the statement 'Small Scale Industries are known as the lifeline of an economy.'
3. Enumerate the advantages of Small Scale Industries.
4. Discuss the problems faced by Small Scale Industries in India.
5. What is industrial sickness? Elaborate the causes of internal sickness.
6. Explain how external causes can lead to industrial sickness.
7. Discuss in detail government schemes to support Small Scale Industries.
8. Elaborate the incentives proposed by Central and State Governments for Small Scale Industries.
9. Explain the concept and functions of Technical Consultancy organizations.
10. Write a detailed note on 'Tax Holidays'.